

WORKING CAPITAL CLIENTCO

BALANCE SHEET: PREPARATION BASIS AND PERIMETER ASSUMPTIONS

PRELIMINARY¹

CLIENTCO BALANCE SHEET

The financial information presented includes the ClientCo Fiber business. The current assets were directly retrieved from the accounts receivable and to calculate the current liabilities some assumptions were made as it follows:

CURRENT ASSETS

Jul 2024	Dec 2024
Accounts receivable FTTH (VoIP + Broadband + SVAs) <120d	Recalculated according to the new subscriber base

CURRENT LIABILITIES

Variable	Jul 2024	Dec 2024
Taxes Payable	23.7%	as is in July 24
Accounts Payable	% of accounts payable according to the perimeter of contracts plus account provision	as is in July 24
Bad debt obligation	Provision for debt allowance recorded in the books	As expected in December recalculated according to the new subscriber base
Labor obligation	Perimeter of 815 people	as is in July 24

ACCOUNTS PAYABLE

The expenses were calculated using accounts payable and the provisions of the 689 contracts in the perimeter as it follows:

	Exclusive ClientCo	Exclusive Oi Services	Shared
Suppliers Contracts	138	122	143
Sales Partners	286	-	-

SALES PARTNERS CONTRACTS

- 100% of costs directly allocated

SUPPLIERS CONTRACTS

- Exclusive contracts of ClientCo: 100% of costs directly allocated
- Shared Contracts to be segregated according to functional areas allocation
- Do not consider installation fee installments and interests
- Provided that the parties will have to negotiate the fiduciary lien/escrow over the FTTH receivables in order to avoid duplication considering the working capital adjustment.

TSA COSTS

- The share of ClientCo costs in the Oi Services (TSA) were calculated using share of fiber unit subscribers as Oi's public results (86%²), share of headcount (35%) or according to functional areas allocation.

1 - Perimeter still under discussion; 2 - Ex Oi Soluções and ex TUP.

BALANCE SHEET: CLIENTCO PERIMETER WORKING CAPITAL (STEADY STATE) X V.TAL'S VERSION

PRELIMINARY¹

CLIENTCO BALANCE SHEET

			Oi @31/Jul/24	Oi @31/Dec/24	V.tal's version	Difference to Oi's @31/Dec/24
			Actual balance as of 31/Jul/24	Steady state	Outdated version of BP as of Dec 2023	
Working Capital	Days	[R\$ mm]	(292)	(306)	232	(538)
Current assets			638	620	719	(98)
Accounts Receivable (<120 days)	40,8	[R\$ mm]	638	620	719	(98)
Current liabilities			(929)	(926)	(487)	(439)
Taxes payables	30	[R\$ mm]	(112)	(109)	(150)	40
Accounts payable		[R\$ mm]	(783)	(783)	(290)	(493)
Suppliers (ex TSA, ex V.tal) OPEX+CAPEX		[R\$ mm]	(200)	(200)		
Postponed Payments		[R\$ mm]	--	--		
V.tal		[R\$ mm]	(531)	(531)	--	(531)
Suppliers through TSA (share of Oi Services)		[R\$ mm]	(53)	(53)		
Bad debt obligation	30	[R\$ mm]	(16)	(16)	(9)	(7)
Labor obligations (perimeter of 825 people)	30	[R\$ mm]	(17)	(17)	(37)	20

BRIDGE CLIENTCO PERIMETER (STEADY STATE) X V.TAL'S VERSION

Working Capital as considered by Vtal	232	Notes
V.tal FTTH contract	(531)	V.tal FTTH contract was not considered in the calculation of Accounts Payable
Adjusted base/revenues	(47)	Actual revenues are lower than the BP estimated what implies in lower Accounts Receivable
Assumption of AR days	(11)	The real time for AR is ~41 instead of 60 days
Bad debt	(7)	Actual bad debt rates are higher than the one of the BP resulting in higher impact in Current Liabilities
Account payables time	38	Actual time is lower than 60 days, ~45 d
Labor	20	Perimeter defined by Vtal is much smaller than the BP's
Oi's Working Capital @31/Dec/2024 (steady state)	(306)	

1 - Perimeter still under discussion

BALANCE SHEET: SUPPORTING DATA AND ACCOUNTS PAYABLES BREAKDOWN (STEADY STATE) ◀

PRELIMINARY¹

Supporting Data		Jul/24 A	Dec/24 E	V.tal's Version
Subscriber base	000 EOP	4.044	3.933	4.229
Net revenues	[R\$ mm]	363	353	384
Gross revenues	[R\$ mm]	475	462	
Taxes	[R\$ mm]	(112)	(109)	
%		23,7%	23,7%	
Bad debt	[R\$ mm]	(16)	(16)	
Personnel expenses	[R\$ mm]	(17)	(17)	

Accounts Payables Breakdown		Expenses	Provision
Suppliers (ex TSA, ex V.tal) OPEX+CAPEX+Postponed	[R\$ mm]	(125)	(74)
OPEX	[R\$ mm]	(88)	(74)
Advertising	[R\$ mm]	(19)	(15)
Call Center / Sales	[R\$ mm]	(23)	(2)
Others	[R\$ mm]	(47)	(57)
CAPEX	[R\$ mm]	(37)	--
ONT	[R\$ mm]	(25)	--
IT	[R\$ mm]	(8)	--
Others	[R\$ mm]	(4)	--
Postponed Payments	[R\$ mm]	--	--
Vtal	[R\$ mm]	(287)	(244)
Penalties related to installation	[R\$ mm]	(4)	(4)
Monthly fee	[R\$ mm]	(201)	(162)
Make whole	[R\$ mm]	(55)	(50)
Maintenance fee	[R\$ mm]	(27)	(28)
Suppliers through TSA (share of Oi Services)	[R\$ mm]	(45)	(8)
OPEX	[R\$ mm]	(39)	(8)
CAPEX	[R\$ mm]	(6)	--

BALANCE SHEET: CLIENTCO PERIMETER WORKING CAPITAL IN DIFFERENT SCENARIOS OF CASH MANAGEMENT

PRELIMINARY¹

CLIENTCO BALANCE SHEET

			Oi @31/Jul/24	Oi @31/Dec/24	Oi @31/Dec/24	Oi @31/Dec/24	V.tal's version	Difference to Oi's @31/Dec/24
			Actual balance as of 31/Jul/24	Steady state	Scenario 1 (2 months)	Scenario 2 (3 months)	Outdated version of BP as of Dec 2023	
Working Capital	Days	[R\$ mm]	(292)	(306)	(410)	(463)	232	(538)
Current assets			638	620	620	620	719	(98)
Accounts Receivable (<120 days)	40,8	[R\$ mm]	638	620	620	620	719	(98)
Current liabilities			(929)	(926)	(1.031)	(1.083)	(487)	(439)
Taxes payables	30	[R\$ mm]	(112)	(109)	(109)	(109)	(150)	40
Accounts payable		[R\$ mm]	(783)	(783)	(888)	(941)	(290)	(493)
Suppliers (ex TSA, ex V.tal) OPEX+CAPEX		[R\$ mm]	(200)	(200)	(200)	(200)		
Postponed Payments		[R\$ mm]	--	--	(105)	(157)		
V.tal		[R\$ mm]	(531)	(531)	(531)	(531)	--	(531)
Suppliers through TSA (share of Oi Services)		[R\$ mm]	(53)	(53)	(53)	(53)		
Bad debt obligation	30	[R\$ mm]	(16)	(16)	(16)	(16)	(9)	(7)
Labor obligations (perimeter of 825 people)	30	[R\$ mm]	(17)	(17)	(17)	(17)	(37)	20

ASSUMPTIONS

- a) ONT suppliers, sales partners, labor-intensive suppliers (e.g. Contact Center), advertising and FTTH/Vtal will be paid regularly
- b) **Scenario 1:** two months of cash management only of the invoices of the suppliers not listed in a) and b)
- c) **Scenario 2:** three months of cash management only of the invoices of the suppliers not listed in a) and b)

BALANCE SHEET: SUPPORTING DATA AND ACCOUNTS PAYABLES BREAKDOWN (SCENARIO 2) ◀

PRELIMINARY¹

Supporting Data		Jul/24 A	Dec/24 E	V.tal's Version
Subscriber base	000 EOP	4.044	3.933	4.229
Net revenues	[R\$ mm]	363	353	384
Gross revenues	[R\$ mm]	475	462	
Taxes	[R\$ mm]	(112)	(109)	
%		23,7%	23,7%	
Bad debt	[R\$ mm]	(16)	(16)	
Personnel expenses	[R\$ mm]	(17)	(17)	

Accounts Payables Breakdown		Expenses	Provision
Suppliers (ex TSA, ex V.tal) OPEX+CAPEX+Postponed	[R\$ mm]	(283)	(74)
OPEX	[R\$ mm]	(88)	(74)
Advertising	[R\$ mm]	(19)	(15)
Call Center / Sales	[R\$ mm]	(23)	(2)
Others	[R\$ mm]	(47)	(57)
CAPEX	[R\$ mm]	(37)	--
ONT	[R\$ mm]	(25)	--
IT	[R\$ mm]	(8)	--
Others	[R\$ mm]	(4)	--
Postponed Payments	[R\$ mm]	(157)	--
Vtal	[R\$ mm]	(287)	(244)
Penalties related to installation	[R\$ mm]	(4)	(4)
Monthly fee	[R\$ mm]	(201)	(162)
Make whole	[R\$ mm]	(55)	(50)
Maintenance fee	[R\$ mm]	(27)	(28)
Suppliers through TSA (share of Oi Services)	[R\$ mm]	(45)	(8)
OPEX	[R\$ mm]	(39)	(8)
CAPEX	[R\$ mm]	(6)	--

